GMS WEEKLY
Your Source for Recycling News

May 8th, 2026
Week 19
Volume 282, Issue 1234

Highlights:

- **Brent breaks.**
- **BDI rips.**
- **Currencies Diverge.**
- **Backlog holds.**

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QUOTE of the WEEK

"It is not the strongest of the species that survives, but the most responsive to change."

-Charles Darwin

-- MARKET COMMENTARY --

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BRENT BREAKS, BACKLOG HOLDS

The Week 18 thesis that the blockade had hardened into a structural reality has been challenged, though not overturned, by the most consequential diplomatic move since February 28. Brent collapsed from the April 30 high of USD 126.41 to USD 96.73 on May 6, settling near USD 100 by May 7, after Axios reported a one-page MoU transmitted from Washington to Tehran via Pakistan. President Trump suspended "Project Freedom," the U.S. naval escort operation in Hormuz, citing progress. Tehran confirmed receipt and signaled a response, while Mohsen Rezaei rejected the framework, demanding reparations. About 23,000 seafarers from 87 countries remain stranded across roughly 2,000 vessels in the Persian Gulf, with the IMO noting no modern precedent.

Freight has moved decisively the other way. The BDI closed at 2,991 on May 6, up 321 points (12%) from 2,670, as Capesize earnings surged, the BCI reaching 5,074 (from 4,283) with daily returns at USD 42,514. Panamax and Supramax firmed alongside. Dry bulk segments most relevant to recycling are now at their strongest levels of 2026, extending the trading premium that keeps older vessels active. Even with a potential Hormuz reopening, freight is signaling that owners are not preparing to release tonnage.

Inflation is now reflecting the full impact of the war shock. Pakistan's April CPI rose to 10.9% (from 7.3%), the first double-digit print in 21 months, as the weekly oil import bill jumped from USD 300 million to USD 800 million. The State Bank of Pakistan responded with a 100bps rate hike to 11.5%, its first in three years. Turkey's CPI reached 32.37% (from 30.87%), with monthly inflation at 4.18%, ending a three-month disinflation trend. Bangladesh and India April data are due next week.

Currencies are diverging. USD/INR hit 95.27 on May 4 before recovering to ~94.18 by May 7. USD/TRY has weakened to a record 45.24, down 1.64% over the month. USD/PKR edged to 279.61 from 278.82 amid the rate hike and inflation shock, while USD/BDT holds within 122.74–123.18 at 122.90. The DXY remains near 100. The prior bifurcation has narrowed, though Pakistan's currency advantage has been materially reduced.

With roughly three weeks before the monsoon window closes, timing is critical. The Brent correction and MoU arrive too late, on current evidence, to alter the Week 18 conclusion that the Q1 overhang has become a Q2 backlog. Owners' decisions over the next 21 days remain driven by firm freight, unresolved Hormuz risks (the Pentagon's six-month mine clearance estimate stands, and the IMO has not endorsed safe passage), and the lag between any agreement and normalized transits. Bangladesh leads on demand and pricing. Pakistan's advantage has narrowed, but holds. India's compliance base remains intact with a stabilizing rupee. Turkey's record lira keeps Aliaga niche.

The Week 19 question has shifted from whether supply will release to whether diplomacy can release it in time. Freight and inflation suggest it will not. The backlog holds.

GMS market rankings / pricing for week 19 of 2026 are on Page 5.

BANGLADESH

CURRENCY HOLDS, PRINT PENDING

Currency holds.

Bangladesh enters Week 19 with USD/BDT at approximately 122.90, fully within the 122.74 to 123.18 band that has now defined the entire Q2 to date. The Dollar Index has held near 100 through the diplomatic whipsaw of Brent crashing from USD 126 on April 30 to under USD 100 on May 6, and the Taka has absorbed neither the upside nor the downside disproportionately. Foreign exchange reserves at USD 34.12 billion as of March remain the operative buffer, and central bank intervention discipline through the past month has been notable for what has not happened: there has been no forced devaluation, no unwind of the LC framework, and no fresh restrictions on cross-border settlement. Local steel plate prices continue to hold in the BDT 69,100 to 71,000 range, with the USD equivalent at approximately USD 562 to USD 578 per ton.

LC flow sustained.

The Letter of Credit pipeline has now sustained the cleared status that emerged through Week 17 and consolidated through Week 18. Chattogram cash buyers continue to report file-to-fund cycles materially shorter than the February reference, and the structural friction that defined the opening quarter has been operationally absent for four consecutive weeks. The two OFAC-sanctioned VLCCs at OPL Chattogram enter their eighth week unresolved, but the heightened due diligence culture they catalysed across the cash buyer community has now been fully internalised. Compliance has not improved. The handling of compliance has.

Print pending.

Bangladesh's March 2026 CPI at 8.71% and non-food inflation at 9.09% remain the operative reads, with the April print expected from BBS in the next week. Given that Pakistan's April CPI surged from 7.3% to 10.9% and Turkey's from 30.87% to 32.37%, both driven by transport and energy components transmitted through the Hormuz blockade, the Bangladesh print carries a genuine signal value for whether the Taka stability has insulated the consumer basket from the same passthrough. The pre-monsoon window has tightened to approximately three weeks. The Brent collapse from USD 126 to USD 100 over seven days has, on the operational level, changed nothing for Chattogram. The yards still want ships. The owners still hold them. The window still closes.

NO MARKET SALES REPORTED

INDIA

RUPEE WHIPSAWS, ALANG WAITS

Record touched.

India's Week 19 has been defined by USD/INR's round trip from the Week 18 close of 94.71 to a fresh all-time low of 95.27 on May 4 (surpassing the prior 94.86 record from March 27), and back to approximately 94.18 by the May 7 close on the breakthrough headlines. The Reserve Bank of India's intervention posture has been notably restrained in both directions, suggesting policy preference for a market-cleared currency level rather than a defended one. Today's 93.68 to 94.72 intraday range underscores how much positioning remains in flux. The May 4 stress level was a 12-month range extreme; the May 7 recovery has not retraced even half of the move from the Week 14 record of 94.42 that defined the early-conflict regime.

Brent reverses.

The Brent collapse from USD 126.41 on April 30 to USD 96.73 intraday on May 6, on Trump's suspension of Project Freedom and the one-page MoU transmission via Pakistan, has provided the rupee with its first directional support since the war opened. India's import bill exposure on approximately 70% of crude and 90% of LPG that route through or near Hormuz now faces the prospect, though not yet the reality, of a passage normalisation that even the Pentagon's six-month mine clearance estimate cannot accelerate. The directional benefit to the rupee from any durable Hormuz reopening remains real but conditional, and the Mohsen Rezaei rebuff suggests the Iranian response to the US framework will be substantive rather than acquiescent. The currency relief seen from May 6 to May 7 should be read as relief, not yet resolution.

Supply unchanged.

Local steel plate prices at Alang held in the INR 40,100 to 41,000 range through the week, with the USD equivalent at approximately USD 422 to USD 436 per ton at the prevailing exchange rates. India remains the lowest-priced sub-continent destination, with the gap to Pakistan now near USD 240 per LDT given the relative currency moves. Alang's structural differentiator is unchanged: more than 110 yards continue to hold valid Statements of Compliance, and the RBI's 2% to 6% inflation tolerance band for the 2026 to 2031 period continues to anchor the macro framework. The April CPI print is expected in mid-May and will be the first to capture the Week 17 to Week 18 shock plus the Week 19 partial relief. None of this changes the immediate operational picture: yard capacity is intact, candidate flow remains negligible, and the monsoon window has now narrowed to approximately three weeks. The Brent collapse has not released the tonnage. Nothing this week has.

NO MARKET SALES REPORTED

PAKISTAN

INFLATION LANDS, ADVANTAGE NARROWS

Shock Lands.

Pakistan's April 2026 CPI printed at 10.9% year-on-year, an increase of 360 basis points from the March 7.3% reading and the first double-digit print in 21 months, materially exceeding expectations and confirming that the war shock has now landed in full across the domestic economy. On a monthly basis, prices accelerated to their fastest pace in nine months, reinforcing the speed of the inflation pass-through. Prime Minister Shehbaz Sharif publicly disclosed that Pakistan's weekly oil import bill has risen from USD 300 million before the war to USD 800 million currently, an increase that the country's external accounts cannot sustain at this pace through monsoon.

Stability Tested.

The State Bank of Pakistan responded by lifting its key policy rate by 100 basis points to 11.5% at its meeting this week, the first rate hike in three years and a clear pivot from the easing cycle that had defined late 2025. USD/PKR has eased to approximately 279.61 from the Week 18 close of 278.82, a marginal weakening that sits comfortably within the ranges that have characterised the year but that, in combination with the inflation print and the rate hike, materially changes the texture of Pakistan's Week 18 "stability advantage" thesis. The PKR remains the most stable major currency in the basin in level terms, but that stability is now being tested and is not yet fully reflected at the cash buyer level.

Advantage Narrows.

Local steel plate prices at PKR 190,000 per ton are unchanged from the Week 18 close, translating to a USD equivalent of approximately USD 679 per ton on the marginal PKR weakening. Gadani's absolute pricing position remains the firmest of the year, and the gap to India remains around USD 240 per LDT. The Gulf proximity premium that compounded structurally through Weeks 16 to 18 is, on the diplomatic motion of Week 19, beginning to face theoretical erosion: a durable Hormuz reopening would, over a multi-month horizon, restore the routing economics that had been suspended. The risk that Pakistan flagged in Week 16 ("the most to lose if a deal arrives quickly, the most to consolidate if it does not") is now partially in motion. Three HKC-certified yards remain operational. The candidate pool remains aligned with Gadani's capacity. The structural position has narrowed, not collapsed, and the monsoon window remains the binding operational constraint.

NO MARKET SALES REPORTED

TURKEY

Lira breaks record again

Turkey enters Week 19 with USD/TRY at approximately 45.24, a fresh record low surpassing the Week 18 reference of 44.92, with the lira weakening 1.64% over the past month and 18.02% over the past 12 months. The Central Bank of Turkey's intervention remains focused on preventing disorderly devaluation rather than defending a level, and the controlled-slide strategy continues. The TCMB held its policy rate unchanged in April and reiterated a data-dependent stance. Its disinflation framework, reliant on real lira appreciation, has been undermined by the latest inflation print.

Lira Slides

Turkey's April 2026 CPI printed at 32.37% year-on-year (versus 30.87% in March), exceeding expectations and ending the three-month disinflation trend. Monthly CPI accelerated to 4.18% from 1.94%, marking the fastest pace since January. The inflation trajectory now materially challenges the credibility of the TCMB's 16% year-end target, which is no longer reconcilable with current dynamics.

Inflation Surges

At USD 270 to USD 292 per LDT across vessel types, Aliaga remains structurally uncompetitive for mainstream tonnage, and the lira's break to a fresh record low has done nothing to change this materially. The gap to Pakistan at USD 445 to USD 480 and to Bangladesh at USD 460 to USD 495 has, if anything, marginally widened in TRY-equivalent terms despite the lira move. Turkey's relevance this Q2 remains confined to EU-regulated tonnage where Basel Convention compliance overrides the price differential. The Brent collapse and the diplomatic motion change none of this. Aliaga is operating in a different market than the sub-continent.

Outpriced Again

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 19 of 2026, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Improving**	460-465 / LDT	480-485 / LDT	490-495 / LDT
2	Pakistan	**Holding**	445-450 / LDT	465-470 / LDT	475-480 / LDT
3	India	**Softening**	425-430 / LDT	445-450 / LDT	455-460 / LDT
4	Turkey	**Softening**	268-270 / LDT	278-280 / LDT	288-290 / LDT

DID YOU KNOW?

- *The 44.4 billion kWh of energy saved through ship recycling at Alang is enough to power approximately 40 million households for one year.*

- *Recycling steel from ships handled at Alang reduces water consumption by up to 40% compared to primary steel production.*

- *Up to 98% of a ship's structure is recyclable, making ship recycling one of the most efficient circular economy models in heavy industry.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
May 27 / 28 – Eid al-Adha	May 14 – May 22

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
May 26 to May 28 – Eid al-Adha	May 16 – May 19 May 31

BANK HOLIDAYS	
PAKISTAN	**TURKEY**
May 27 to May 29 – Eid al-Adha	May 19 - Commemoration of Atatürk & Youth Day May 27 / 28 – Kurban Bayramı

ALANG - Port Position as of May 08, 2026

No.	VESSEL NAME	LDT	TYPE	STATUS

No new vessels reported.

CHATTOGRAM - Port Position as of May 08, 2026

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Jiang	21,238	Bulk Carrier	*Delivered May 01*
2	Festival	6,993	Bulk Carrier	*Delivered May 04*
3	Spruce	2,217	Container	*Delivered May 04*
4	BGP Pioneer	3,085	Research Survey Vessel	*Delivered May 06*
5	Jian Jie	1,808	Tanker	Arrived May 06
6	Ace 1	5,757	Other	*Delivered May 07*

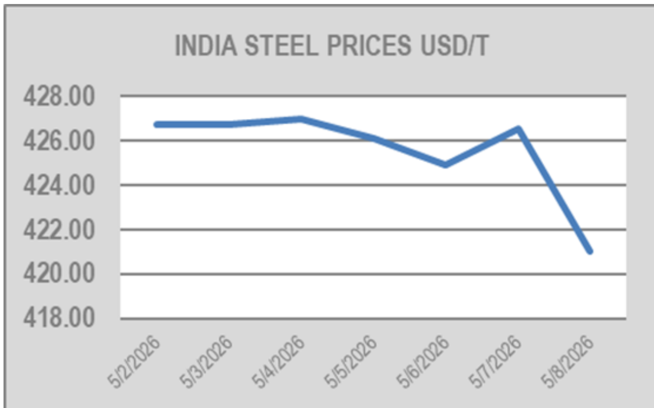
GADANI - Port Position as of May 08, 2026

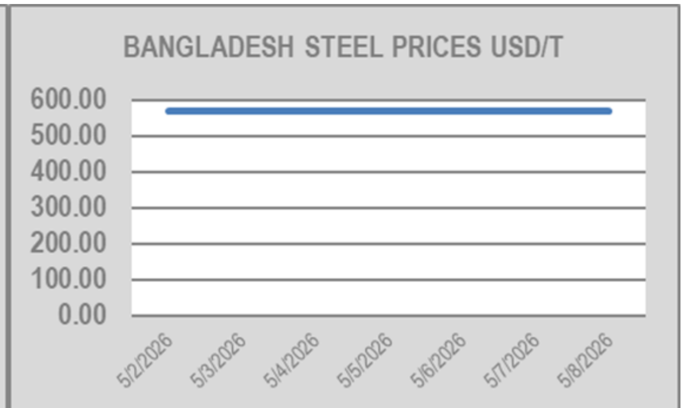
No.	VESSEL NAME	LDT	TYPE	STATUS

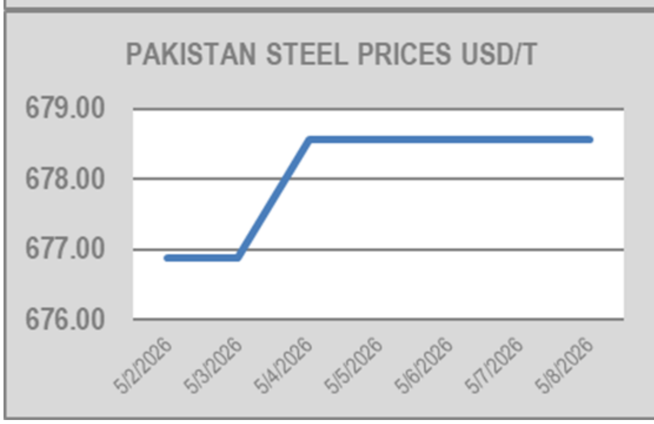
No new vessels reported.

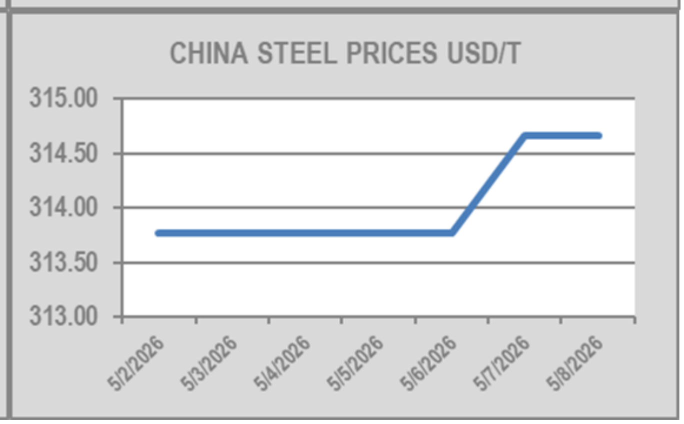
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
5/2/2026	426.72	40,500.00	676.88	190,000.00	568.72	69,100.00	313.77
5/3/2026	426.72	40,500.00	676.88	190,000.00	568.72	69,100.00	313.77
5/4/2026	427.01	40,600.00	678.57	190,000.00	568.72	69,100.00	313.77
5/5/2026	426.11	40,600.00	678.57	190,000.00	568.72	69,100.00	313.77
5/6/2026	424.90	40,200.00	678.57	190,000.00	568.72	69,100.00	313.77
5/7/2026	426.53	40,200.00	678.57	190,000.00	568.72	69,100.00	314.66
5/8/2026	421.03	39,800.00	678.57	190,000.00	568.72	69,100.00	314.66









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